

Evaluating Appeal Outcomes for Insurance Non-Preferred Dermatology Specialty Medications

Background

- The appeal process for prior authorization (PA) denied on specialty medications is time consuming and can result in significant patient care delays and access to medication
- At Northwestern Medicine Specialty Pharmacy (NMSP), appeal submission is often required due to the medication being excluded on the insurance company's formulary
- A study showed that over half of PA requests for complex dermatology medications are initially denied, with an average approval delays of around two weeks, worsening patient outcomes
- The administrative burden and follow-up associated with appeals are significant and impact both healthcare providers and patient care

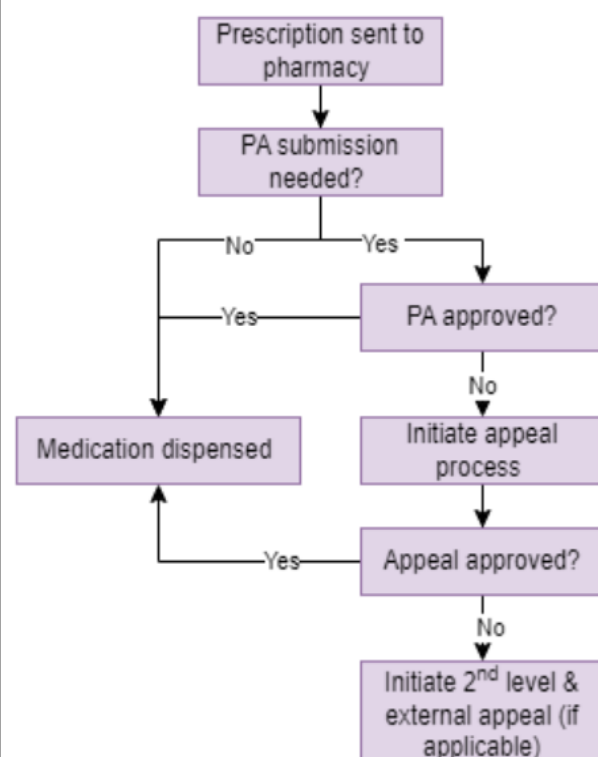


Figure 1: Appeal workflow

Purpose

- Evaluate the success rate of appeals submitted by NMSP for dermatology specialty medications not included on an insurance formulary preference list

Methods

Study Design:

- System-wide, retrospective observational study
- Analysis of dermatology specialty prescriptions submitted to NMSP between January 1, 2024, and August 1, 2024, requiring submission of at least one appeal

Results: Primary Endpoint (N=41)

- Number of appeals overturned by insurance after 1st, 2nd, or external level appeal for dermatology specialty medication where a PA was initially denied due to an insurance formulary preference
 - 22/41 appeals were approved
 - 19/41 appeals were denied

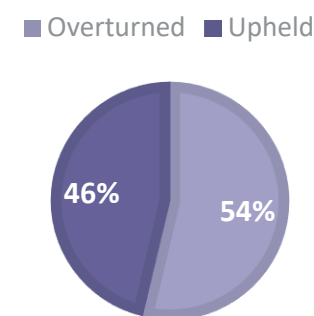


Figure 2a: Appeal outcome

Results: Secondary Endpoints

- Number of patients required to seek financial assistance (FA) or alternative medication due to an upheld appeal
 - 8 (42.1%) switched to alternate medication
 - 4 (21.1%) obtained medication through patient assistance program
 - 4 (21.1%) lost to follow up or unknown
 - 3 (15.7%) other reasons
- Number of appeals submitted
 - 1st level appeal: 40; 2nd level appeal: 4; External appeal: 6
- Appeal success rate by insurance type

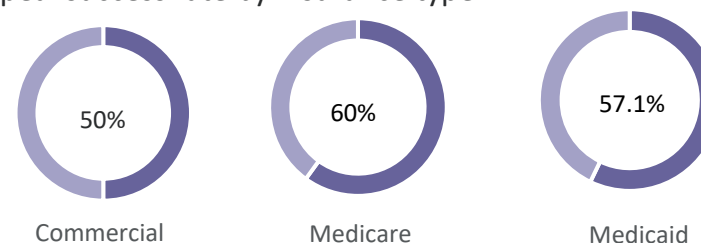
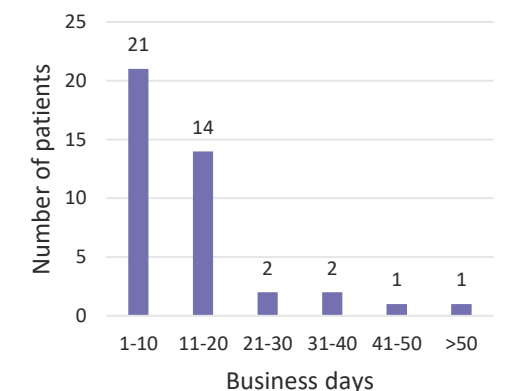
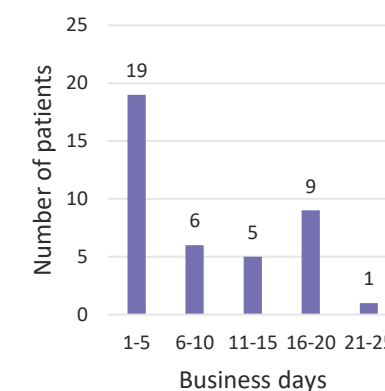


Figure 2b: Appeal outcome

Results: Secondary Endpoints (cont'd)

- Time to first level appeal decision
- Time to final level appeal decision



Conclusion

- Appeal process proved to be an effective strategy for overturning PA denials; Majority of these approvals were granted after the first level of appeal
- Despite the overall effectiveness, some patients still faced barriers, requiring alternative solutions such as switching medications or seeking FA
- The findings emphasize the importance of a structured and persistent appeal process

Limitations

- Retrospective study & small sample size (N=41)
- Documentation differences in appeal letters were not studied
- Utilized pharmacy technician's notes to determine appeal dates when letters were missing in electronic health record

References

- Jew OS, Okawa J, Barbieri JS, McCaffrey J, Hayward E, Werth VP. Evaluating the effect of prior authorizations in patients with complex dermatologic conditions. J Am Acad Dermatol. 2020;83(6):1674-1680. doi:10.1016/j.jaad.2020.06.998
- American Medical Association. Prior Authorization and Utilization Management Reform Principles. Published n.d. <https://www.ama-assn.org/system/files/principles-with-signatory-page-for-slsc.pdf>

Disclosures

No author of this study has any financial or personal relationships with commercial entities that may have a direct or indirect interest in the subject matter of this presentation